REGIONAL SPOTLIGHT

From Cocaine to Criminal Empires: The Diversification of Latin America's Illicit Markets

Latin America's criminal ecosystem is drastically transforming, with illicit markets becoming highly dynamic as criminal organisations adopt new, more flexible business models and prioritise more lucrative activities and alliances, including in partnership with sophisticated extra-regional actors. Traditional illicit markets, particularly drug trafficking, are giving way to opportunistic alternatives as diversification becomes the norm.

Involvement in the illicit-drug supply chain continues to be the most important source of revenue for most criminal organisations in Latin America. However, other criminal markets such as extortion, human trafficking, smuggling and illegal mining are increasingly taking centre stage, with criminal activities becoming ever more intertwined (see Figure 1.2).[1] This is transforming the way both large and small criminal organisations operate, generating new violence hotspots across Latin America and forcing states to radically rethink their approaches to organised crime. The strengthening of criminal organisations in this more dynamic context – also enabled by corrupt actors and weak institutions – has become a significant threat to already fragile democracies and the rule of law at the national and regional levels, with important negative repercussions for regional and global security.

An increasingly opportunistic criminal landscape

The criminal landscape appears to be moving from reliance on a single multibillion-dollar illicit product, cocaine, aimed at one primary market, the United States, to a plethora of products and activities targeting multiple markets globally, facilitated by sophisticated and fluid criminal networks and alliances. This major shift is reshaping the structure and operations of criminal organisations as they seek to maximise opportunities and profits – posing serious risks for local populations caught in the crossfire and for states struggling to keep pace and implement lasting responses.

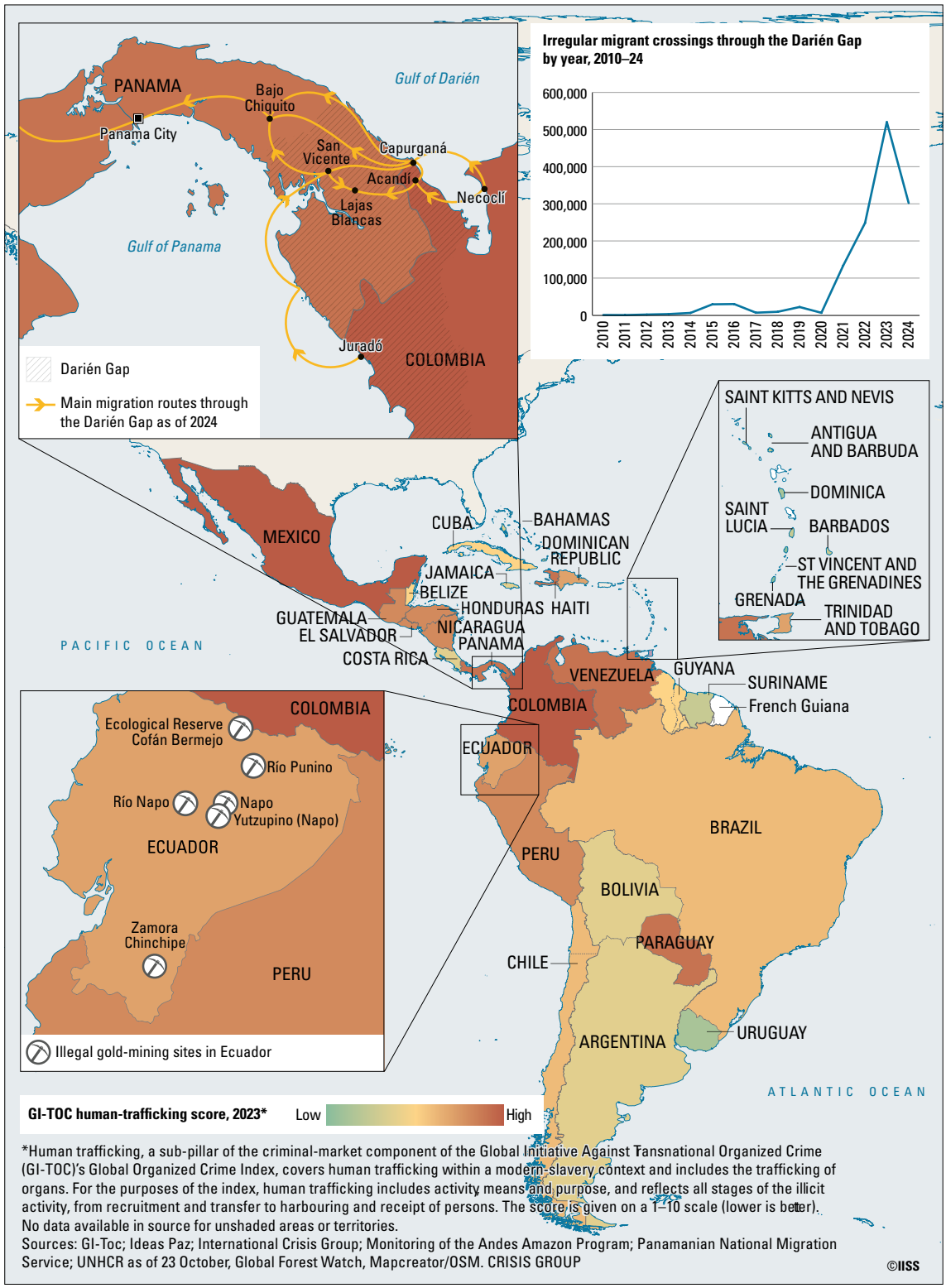
The larger criminal organisations in the region, including Colombia's Gulf Clan and Mexico's Jalisco New Generation Cartel (CJNG) and Sinaloa Cartel, continue to hold most of the power. However, profits and income from the overall illicit market, including global supply chains targeting Europe, the US and increasingly Oceania, are looking progressively diverse, with potentially dozens of actors involved in fluid, opportunistic alliances. At the bottom of supply chains, local organisations and gangs violently expand their territorial control, thus opening opportunities for new illicit, and highly profitable, activities such as extortion and human trafficking, as they forge alliances with criminals and government officials alike. These networks, working alongside extra-regional criminal groups such as the Italian 'Ndrangheta and Albanian and Turkish mafia-type organisations, operate as well-oiled machines to traffic various goods across the world. This includes trafficking cocaine to Europe, fentanyl to the US and illicit gold to the Middle East. They also make eye-watering earnings from human trafficking, smuggling and extortion across Latin America.

Venezuela's Tren de Aragua gang and Brazil's First Capital Command exemplify this trend. Both organisations have successfully expanded their territorial control through violence and strategic alliances with regional actors, as well as allying with corrupt government officials. Their adaptability allows them to swiftly pivot to new criminal activities as opportunities arise. Given that illicit markets are projected to generate US$3–5 trillion globally in 2025 alone, these groups' willingness to evolve to maximise profits should not come as a surprise.[2]

Expanding criminal markets

Illicit-drug trafficking remains the most profitable criminal market in the world, with the global supply of cocaine reaching a new record in 2023.

Figure 1.2: **Criminal economies in the region: hotspots for human trafficking and illicit gold mining**



*Human trafficking, a sub-pillar of the criminal-market component of the Global Initiative Against Transnational Organized Crime (GI-TOC)'s Global Organized Crime Index, covers human trafficking within a modern-slavery context and includes the trafficking of organs. For the purposes of the index, human trafficking includes activity, means and purpose, and reflects all stages of the illicit activity, from recruitment and transfer to harbouring and receipt of persons. The score is given on a 1–10 scale (lower is better).
No data available in source for unshaded areas or territories.
Sources: GI-Toc; Ideas Paz; International Crisis Group; Monitoring of the Andes Amazon Program; Panamanian National Migration Service; UNHCR as of 23 October, Global Forest Watch, Mapcreator/OSM. CRISIS GROUP

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According to United Nations Office on Drugs and Crime (UNODC) data, over 3,700 tonnes of cocaine were produced that year – a nearly 34% increase from the previous year.[3] Transformations in consumption patterns, however, are driving profound changes in this and other illicit markets. In the US, historically the world's largest cocaine market, the use of this drug is decreasing, while consumption of synthetic drugs has skyrocketed over recent years. Meanwhile, in Europe and Oceania, cocaine consumption has been on the rise, as have business opportunities for criminal organisations able to control new trafficking routes through South America and parts of Africa, among other regions, bypassing the US entirely.

Increasing fentanyl and methamphetamine consumption in the US has notably created a whole new scenario, altering the way criminal organisations work and the impacts of their activities on local communities. The relatively simple production of synthetic drugs, which primarily depends on access to precursor chemicals from countries with lax controls like China, combined with their high profitability makes them a more attractive business venture than plant-based drugs. For example, an illicit fentanyl pill sold for US$10–30 costs a Mexican cartel only about US$0.10 to produce.[4] In contrast, plant-based drugs require access to land, specific climate conditions, labour-intensive production processes, and the ability to transport large volumes of easily detectable substances. Money transactions for synthetic drugs are also harder to trace, as both criminal organisations in Latin America and suppliers of precursor chemicals, particularly in China, are increasingly using underground banking systems, shell companies and shadow transactions.

At the same time, other criminal markets continue to gain prominence, including those relying on extensive control of territories, communities and transport routes. These include extortion, human trafficking and smuggling, as well as the exploitation of natural resources – such as illegal gold mining, which is particularly prevalent in South America. Criminal organisations increasingly operate with a global business mentality and, as such, focusing exclusively on one market (such as illicit-drug trafficking) does not make financial sense.[5] The CJNG, the Sinaloa Cartel and the Gulf Clan are notably using their control over key routes and territories in the region to move into new markets – including those that have emerged as a result of changes in external factors (such as migration policies and illicit-drug consumption patterns) – with relative ease.

The Gulf Clan, for example, was able to capitalise on the opportunity presented by increasing numbers of irregular migrants attempting to pass through Colombia and the perilous Darién Gap, a lawless strip of land linking South and Central America, fleeing poverty and violence at home. Migration numbers surged year-on-year, surpassing 520,000 in 2023.[6] Although the migration flow has dropped dramatically since then, as a consequence of changes in the United States' and Panama's migration policies, migrants through the gap continue to be a population highly vulnerable to organised crime. The Gulf Clan's tight territorial control over the area and its local communities – enforced through its coordination of cocaine production, provision of security to drug traffickers, and the imposition of 'taxes' on both legal businesses and illicit actors such as people smugglers – enabled it to exploit this criminal opportunity fully. Criminal earnings related to irregular migrants were substantial, with the International Crisis Group estimating that the Gulf Clan earned US$50–80 per migrant crossing the Darién Gap in 2023.[7]

Like the Gulf Clan, the Tren de Aragua gang has taken advantage of the vulnerabilities of the growing migrant population to diversify its activities and increase its earnings. The organisation has turbo-charged its expansion across the continent by exploiting Venezuela's record migration flow. These migrants have included many vulnerable women, which the group has targeted for sex trafficking in Peru – as the country's attorney general discovered in late 2023. The group utilises several strategies to recruit women and girls under false pretences, including through organising beauty contests, setting up fake marketing agencies and even targeting women visiting loved ones in prison, with the aim to exploit them sexually.

The Tren de Aragua gang has proven particularly skilled at adapting to changing circumstances. Working as a network with a presence in various countries, it is flexible enough to test different markets before settling on the most profitable ones, while always maintaining the space and contacts

necessary to move to other markets as opportunities arise, often using violence. For example, the surge in Venezuelan migrants to Chile provided the organisation with an entry point to the Chilean market. Once there, the organisation quickly managed to take control of territories through extortion.

The exponential rise in violence in Ecuador, meanwhile, stems from open confrontations between local and foreign criminal groups vying for control of new territories as they diversify their illicit operations, including extortion and illegal mining. The Los Lobos gang – one of the most powerful criminal actors in Ecuador – leveraged its territorial dominance to forge an alliance with the CJNG, gaining control over nearly every stage of the mining supply chain, often through threats and extortion of local miners and communities.

Illicit activities related to mining, in particular illicit gold mining, have skyrocketed in Ecuador in recent years, with reports of such activities documented in 22 of the country's 24 provinces between 2019 and August 2024.[8] The Amazon region has been particularly affected as criminal organisations reinvest their profits from drug trafficking into this activity, triggering often-violent competition for territorial control. This has both escalated violence and facilitated the expansion of other illicit activities, including the trafficking of mercury, weapons and drugs.

States struggling to adapt

States in the region have begun adapting their strategies and allocating more resources to address the rise of synthetic drugs. Yet their efforts still fall short of fully grasping the evolving nature and dynamics of organised crime, or of integrating these complexities – along with the risks posed by a rapidly shifting geopolitical landscape – into their policies and responses.

Notably, US President Donald Trump's sweeping changes to US migration policies and approaches to organised crime and foreign aid will have far-reaching effects on Latin America's political and criminal landscape. Measures such as criminalising migration, designating certain Latin American criminal organisations as 'foreign terrorist organisations' and cutting US foreign aid to the region are cases in point.[9] Their combined impact is likely to undermine socio-economic resilience while leading to a reconfiguration in criminal dynamics as organised groups diversify their portfolios, activities and alliances according to shifting risks and opportunities. The US crackdown on migration – and co-optation of transit countries in Latin America in this approach – are already reshaping irregular-migration patterns, with a dramatic decline in crossings through the Darién Gap.[10] This shift may spur the emergence of new routes while creating increasingly lucrative opportunities for both established and emerging criminal groups. Furthermore, US cuts to foreign aid for development and reinforcing institutions in Latin America are likely to weaken socio-economic indicators, hinder government responses to evolving security threats, and erode community resilience against criminal groups.

Beyond the immediate disruptions caused by US policies, the biggest challenge for states will remain their ability to develop and implement strategies at a pace that matches the adaptability of criminal organisations. Historically, governments have struggled to respond as quickly as these groups evolve, making long-term resilience-building even more critical. Addressing this challenge requires a multidimensional approach. While enhanced intelligence, information sharing and cross-border security cooperation remain essential, they must be complemented by sustained investment in the resilience of communities vulnerable to criminal expansion. This includes developing robust socio-economic programmes that offer genuine pathways out of poverty and strengthening institutions – particularly by improving judicial effectiveness and tackling impunity.

Notes

1 Interviews with Douglas Farah, Pablo Zeballos and Ronna Risquez, organised-crime analysts, February and March 2025.

2 International Coalition Against Illicit Economies (ICAIE), 'Illicit Trade Is Emerging as a Top 5 World Economy (GDP) in 2024: Yielding Criminals, Bad Actors, and Threat Networks Between $3-5 Trillion a Year in Illicit Wealth', 28 March 2024.

3 UNODC, 'World Drug Report 2025', June 2025.

4 Douglas Farah, 'Fourth Transnational Criminal Wave: New Extra Regional Actors and Shifting Markets Transform Latin America's Illicit Economies and Transnational Organized Crime Alliances', Florida International University Research Publications, 19 June 2024.

5 Interview with Pablo Zeballos, March 2025.

6 República de Panamá [Republic of Panama], Servicio Nacional de Migración [National Migration Service], 'Tránsito Irregular por Darién 2023' [Irregular transit through the Darién 2023].

7 International Crisis Group, 'Bottleneck of the Americas: Crime and Migration in the Darién Gap', 3 November 2023.

8 According to data from the Crime Analysis Unit of the Attorney General's Office published by Amazon Watch. Amazon Watch, 'Gold, Gangs, and Governance: Indigenous Communities in the Grip of Organized Crime', September 2024, p. 10.

9 White House, 'Designating Cartels and Other Organizations as Foreign Terrorist Organizations and Specially Designated Global Terrorists', 20 January 2025.

10 In March 2025, Panama announced the closure of several migrant centres, as the flow of migrants passing through the Darién Gap dropped by 98% compared to the previous year. Juan Diego Quesada, 'Panamá anuncia el cierre de la ruta del Tapón del Darién por la que han cruzado más de un millón de inmigrantes camino a Estados Unidos' [Panama announces the closure of the Darién Gap's transit route through which more than one million migrants have transited on their way to the United States], *El País*, 13 March 2025; and UN Office of the High Commissioner for Human Rights, 'Monitoring in Motion for Migrants in the Darien Gap', 8 May 2025.